February 2, 2026

Chair Danilo Burgos
House Consumer Protection,
Technology & Utilities Committee
106 Irvis Office Building
P.O. Box 202197
Harrisburg, Pennsylvania 17120

Republican Chair Carl Walker Metzgar
House Consumer Protection,
Technology & Utilities Committee
216 Ryan Office Building
P.O. Box 202069
Harrisburg, Pennsylvania 17120

RE: Letter in Opposition to Pennsylvania HB 1942

Dear Chair Burgos and Republican Chair Walker Metzgar:

On behalf of the advertising industry, we write to oppose Pennsylvania HB 1942.[1] We provide this letter to offer our non-exhaustive list of concerns about this bill. HB 1942 would significantly limit Pennsylvania consumers' access to discounts and special pricing, prohibit the use of third-party data to support pricing and rewards that benefit consumers, and establish a new private right of action. Accordingly, we ask you to decline to advance the bill as drafted out of the House Consumer Protection, Technology & Utilities Committee ("Committee").

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,000 companies that power the commercial Internet, which accounted for nearly 20 percent of total U.S. gross domestic product ("GDP") in 2024.[2] By one estimate, approximately 18.4% of Pennsylvania jobs in 2024 were related to the ad-subsidized Internet, a share projected to increase to 20.2% by 2029.[3] Our group has more than a decade's worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with the Committee further on the points we discuss in this letter.

I. HB 1942 would limit access to discounts and special pricing offers that Pennsylvania consumers rely on to manage everyday costs.

HB 1942 would fail to adequately protect the everyday value that common pricing practices, such as discounts and personalized offers, provide to Pennsylvania consumers, nor does it recognize that personalized pricing strategies can enhance consumer choice and

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[1] Pennsylvania HB 1942 (2025-2026 Session), located here (hereinafter, "HB 1942").
[2] S&P Global, THE ECONOMIC IMPACT OF ADVERTISING ON THE US ECONOMY, 2024-2029 at 4 (Aug. 2025), located at https://theadcoalition.com/wp-content/uploads/2025/08/TAC_SP-Global-Final-Report_August-2025.pdf.
[3] *Id.* at 15-16.

satisfaction. In fact, it would penalize Pennsylvania companies by prohibiting them from using these routine and expected practices to grow their businesses.

Under the bill, a business may not engage in "surveillance pricing" to customize the price of goods for a consumer or group of consumers.[4] In practice, these restrictions would likely prohibit consumer-friendly pricing practices that Pennsylvanians encounter and value every day. For example, HB 1942 would make it unclear whether it would be permissible for a grocery retailer to use location and purchase history to provide a consumer, who regularly purchases fresh produce, a targeted discount on surplus fruits nearing their sell-by date. This type of personalized discount benefits consumers through lower prices, reduces food waste, and helps retailers manage inventory more efficiently, yet it may be swept into the bill's broad prohibition if the grocery retailer relies on consumer data collected through "electronic surveillance technology" rather than uniform pricing. While HB 1942 does provide limited exceptions for discounted pricing "offered to members of a broadly defined group" (i.e., students), to consumers enrolled in a loyalty program, or consumers that have signed up for a mailing list or promotions, the bill could significantly curtail discounting and special pricing for the average consumer who may not be enrolled in such programs.[5] By prohibiting such commonplace practices, HB 1942 dismisses the role that data-driven pricing plays in delivering value to a broader set of consumers.

II. HB 1942 would limit businesses' ability to use third-party data to offer Pennsylvania consumers special loyalty program benefits and promotions.

HB 1942 would prohibit augmenting or supplementing pricing or rewards programs with personally identifiable information obtained from third parties.[6] This restriction is overly broad and would impede commonplace business practices that enhance understanding of customer preferences, give consumers more choice in products and services, and give Pennsylvania retailers the ability to predict sales and new offerings while growing their businesses. Responsibly sourced third-party data is commonly used to deliver discount opportunities that meaningfully benefit consumers. HB 1942 would prohibit the use of third-party data to inform discounts and personalize offerings, regardless of how such data is collected, disclosed, or used. The provision would impact widely accepted programs such as loyalty partnerships and other offerings that rely on third-party data to function. These programs typically expand access to discounts and increase competition, rather than disadvantage consumers. Restricting data use as contemplated in HB 1942 would harm consumers by reducing the ability for retailers to plan and serve their customers with confidence.

In addition, the provision's vague reference to data obtained from a "third party or other means" would create significant compliance uncertainty and risks chilling innovation.[7] Smaller businesses, which often depend on third-party data to compete with larger businesses that

[4] HB 1942 § 3(a).
[5] HB 1942 § 3(b).
[6] HB 1942 § 3 (d)(3).
[7] *Id.*

possess more data about consumers, would be disproportionately harmed. Instead of advancing fairness or transparency, the provision would undermine competition and consumer benefits while failing to target actual unreasonable data practices.

III. HB 1942 would establish a private right of action which is an inappropriate form of enforcement for the legislation.

As presently drafted, HB 1942 would create a private right of action.[8] HB 1942 should be updated to clarify that it does not create a private right of action under any law. We strongly believe a private right of action would be an inappropriate enforcement mechanism for this bill. Instead, enforcement should be vested with the Attorney General ("AG") alone, because such an enforcement structure would lead to stronger outcomes for Pennsylvania residents while better enabling businesses to allocate resources to developing processes, procedures, and plans to facilitate compliance with the bill's new requirements. AG enforcement, instead of a private right of action, is in the best interests of consumers and businesses alike.

The possibility of a private right of action in HB 1942 would create a complex and flawed compliance system without tangible benefits for consumers. Allowing private actions will flood Pennsylvania's courts with frivolous lawsuits driven by opportunistic trial lawyers searching for technical violations, rather than focusing on actual consumer harm.[9] Private right of action provisions are completely divorced from any connection to actual consumer harm and provide consumers little by way of protection from detrimental data practices.

Additionally, a private right of action would have a chilling effect on the Commonwealth's economy by creating the threat of steep and unforeseeable costs for companies that are good actors but inadvertently fail to conform to technical provisions of law. Private litigant enforcement provisions do not effectively address consumer protection concerns or deter undesired business conduct. They expose businesses to extraordinary and potentially enterprise-threatening costs for technical violations of law rather than drive systemic and helpful changes to business practices. A private right of action would also encumber businesses' attempts to innovate by threatening companies with expensive litigation costs, especially if those companies are visionaries striving to develop transformative new technologies. The threat of an expensive lawsuit may force smaller companies to agree to settle claims against them, even if they are convinced they are without merit.[10]

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[8] HB 1942 § 4(b).

[9] A select few attorneys benefit disproportionately from private right of action enforcement mechanisms in a way that dwarfs the benefits that accrue to the consumers who are the basis for the claims. For example, a study of 3,121 private actions under the Telephone Consumer Protection Act ("TCPA") showed that approximately 60 percent of TCPA lawsuits were brought by just forty-four law firms. Amounts paid out to consumers under such lawsuits proved to be insignificant, as only 4 to 8 percent of eligible claim members made themselves available for compensation from the settlement funds. U.S. Chamber Institute for Legal Reform, *TCPA Litigation Sprawl* at 2, 4, 11-15 (Aug. 2017), located here.

[10] For instance, in the early 2000s, private actions under California's Unfair Competition Law ("UCL") "launched an unending attack on businesses all over the state." American Tort Reform Foundation, *State Consumer Protection*

Beyond the staggering cost to Pennsylvania businesses, the resulting snarl of litigation could create a chaotic and inconsistent enforcement framework with conflicting requirements based on differing court outcomes. Overall, the possibility of a private right of action would serve as a windfall to the plaintiff's bar without focusing on the business practices that actually harm consumers. We therefore encourage the Committee to clarify that HB 1942 does not create a private right of action under any law and vests enforcement authority with the AG alone.

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We respectfully ask the Committee not to advance HB 1942, as its provisions would negatively affect both businesses and consumers alike. Rather than strengthening consumer protections, the bill risks higher prices, reduced choice, and fewer opportunities for consumers to benefit from discounts and incentives, while also limiting businesses' ability to use third party data to offer competitive pricing and promotions.

Thank you in advance for your consideration of this letter.

Sincerely,

Christopher Oswald
EVP for Law, Ethics & Govt. Relations
Association of National Advertisers
202-296-1883

Alison Pepper
EVP, Government Relations & Sustainability
American Association of Advertising Agencies, 4As
202-355-4564

Clark Rector
Executive VP–Government Affairs
American Advertising Federation
202-898-0089

Lou Mastria
CEO
Digital Advertising Alliance
347-770-0322

CC: Members of the Pennsylvania House Consumer Protection, Technology & Utilities Committee

Mike Signorelli, Venable LLP
Allie Monticollo, Venable LLP
Matthew Stern, Venable LLP

Laws Unhinged: It's Time to Restore Sanity to the Litigation at 8 (2003), located here. Consumers brought suits against homebuilders for abbreviating "APR" instead of spelling out "Annual Percentage Rate" in advertisements and sued travel agents for not posting their phone numbers on websites, in addition to initiating myriad other frivolous lawsuits. These lawsuits disproportionately impacted small businesses, ultimately resulting in citizens voting to pass Proposition 64 in 2004 to stem the abuse of the state's broad private right of action under the UCL. *Id.*